EXPECTED RETURN OF EQUITY

WEIGHT OF CATEGORY A	×	RETURN OF CATEGORY A	+	WEIGHT OF CATEGORY B	×	RETURN OF CATEGORY A
67%	x	14%	+	33%	x	17%

= 9.38% + 5.66% = 15%

'Weight' refers to the allocation made to that asset category and 'return' refers to a 7-year average return

EXPECTED RETURN OF DEBT

WEIGHT OF CORPORATE BOND	×	RETURN OF CORPORATE BOND	+	WEIGHT OF LIQUID BOND	×	RETURN OF LIQUID BOND
50%	x	9%	+	50%	x	7%

= 8% =

'Weight' refers to the allocation made to that asset category and 'return' refers to a 7-year average return. Similarly, if there are more than 2 categories, keep adding them in the formula.

OVERALL EXPECTED RETURN

WEIGHT OF EQUITY	×	RETURN OF EQUITY	+	WEIGHT OF DEBT	×	RETURN OF DEBT
70%	x	15%	+	30%	x	8%

= 12.9%

So, the expected return that we will enter in the graph is going to be 12.9%. Note that whenever we do any kind of calculation for weighted averages, the sum total of all the weights used the formula should be 100%.